



CARIBBEAN EXAMINATIONS COUNCIL

CARIBBEAN ADVANCED PROFICIENCY EXAMINATION®

ECONOMICS

UNIT 1 – Paper 02

2 hours 30 minutes

READ THE FOLLOWING INSTRUCTIONS CAREFULLY.

1. This paper consists of THREE questions, one from each module. Answer ALL questions.
2. Write your answers in the spaces provided in this booklet.
3. Do NOT write in the margins.
4. You may use a silent, non-programmable calculator to answer questions.
5. If you need to rewrite any answer and there is not enough space to do so on the original page, you must use the extra lined page(s) provided at the back of this booklet. **Remember to draw a line through your original answer.**
6. If you use the extra page(s) you **MUST** write the question number clearly in the box provided at the top of the extra page(s) and, where relevant, include the question part beside the answer.

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Answer ALL questions.

MODULE 1: METHODOLOGY – DEMAND AND SUPPLY

1. (a) Define EACH of the following terms:

(i) Price elasticity of supply

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[2 marks]

(ii) Income elasticity of demand

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[2 marks]

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- (b) (i) Explain, with the aid of a PPF diagram, the concept 'opportunity cost'.

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[5 marks]

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- (ii) Table 1 shows the quantity of lollipops demanded and supplied at various prices.

**TABLE 1: QUANTITY OF LOLLIPOPS DEMANDED
AND SUPPLIED AT VARIOUS PRICES**

Price	Quantity Demanded	Quantity Supplied
\$ 7	200	50
\$ 8	180	90
\$ 9	150	150
\$10	110	210
\$11	60	250

Use the information in Table 1 to calculate the price elasticity of supply when the price changes from \$9 to \$10. **Interpret** your results.

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[8 marks]



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Total 25 marks



The following table shows the results of the regression analysis for the dependent variable "Number of children in the household" (N = 1,000). The independent variables are "Age of the head of household" and "Gender of the head of household". The results are presented in the following table:

Variable	Coefficient	Standard Error	t-statistic	p-value
Age of the head of household	0.001	0.001	1.00	0.316
Gender of the head of household	0.001	0.001	1.00	0.316
Constant	1.000	0.000	1.00	0.316

The results show that the coefficient for "Age of the head of household" is 0.001, with a standard error of 0.001 and a t-statistic of 1.00. The p-value is 0.316, which is greater than the 0.05 level of significance. Therefore, we fail to reject the null hypothesis that the coefficient is equal to zero.

The coefficient for "Gender of the head of household" is also 0.001, with a standard error of 0.001 and a t-statistic of 1.00. The p-value is 0.316, which is greater than the 0.05 level of significance. Therefore, we fail to reject the null hypothesis that the coefficient is equal to zero.

The constant term is 1.000, with a standard error of 0.000 and a t-statistic of 1.00. The p-value is 0.316, which is greater than the 0.05 level of significance. Therefore, we fail to reject the null hypothesis that the constant is equal to zero.

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MODULE 2: MARKET STRUCTURE, MARKET FAILURE AND INTERVENTION

2. (a) (i) Outline ONE barrier to entry.

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[2 marks]

- (ii) Table 2 shows five firms and their corresponding sales figures.

TABLE 2: FIRMS AND THE AMOUNTS OF THEIR SALES

Firm	Sales
A	\$200 000
B	\$500 000
C	\$400 000
D	\$300 000
E	\$100 000

Using the information in Table 2, calculate the Herfindahl-Hirschman Index (HHI).

[3 marks]

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- (b) Compare, with the aid of diagrams, the productive efficiency and economic profit of a perfectly competitive firm and a monopolistically competitive firm in the long run.

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- Discuss TWO reasons why the market for health care may fail if it was not subsidised by the government.**

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MODULE 3: DISTRIBUTION THEORY

3. (a) Define EACH of the following terms:

(i) Marginal revenue product of labour

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[2 marks]

(ii) Income inequality

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[2 marks]

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- (c) Draw a diagram illustrating how the wage rate is determined in a perfectly competitive market.

[4 marks]

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- Discuss THREE factors that could account for this disparity in wages.**

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Total 25 marks

IF YOU FINISH BEFORE TIME IS CALLED, CHECK YOUR WORK ON THIS TEST.

